Financial Income Statement Analysis

Bhuvan Virmani
bhuvanvirmani303@gmail.com
0434096407

Contents

Executive Summary

City of Parramatta recorded the **largest budget variance**, driven by a **$26M surge in Other Income**, improving short-term liquidity. However, major overspends in **Materials & Services (+$62M)** and **asset disposal losses (+$7.1M)** pushed the council from a **budgeted $6M surplus to a $14M deficit**, signalling strong revenue performance but serious pressure on operating costs.

North Sydney Council delivered a stronger-than-expected year, with **Capital Grants exceeding budget by $11M** and the **Net Operating Result Before Capital Grants improving from –$8M to +$1M**. The **$20M uplift in the Result Attributable to Council** reflects improved operational stability, though continued dependency on capital inflows highlights a need for tighter recurring cost control.

Hornsby Shire Council achieved the most significant **YoY turnaround**, driven by a swing in **Capital Grants from –$22M to +$42M**, a **$4M rise in Other Income**, and **reduced asset disposal losses (–$3.4M)**. These contributed to major operating improvements, including a lift in the **Net Operating Result Before Capital Grants from –$6M to +$21M**, though some gains are amplified due to unusually low 2024 base values.

Data Source

Audited annual financial statements, "Income Statement" table, FY 2024-25 (Primary Financial Statements section).

Councils included: -

- City of Parramatta Council
- North Sydney Council
- Hornsby Shire Council
- City of Sydney Council
- Hills Shire Council
- Woollahra Council

Platform

Power Query for data cleaning and modelling; Power BI and DAX for creating measures, calculating variances, and visualizations.

Calculations

- Budget Variance: (Actual – Budget) / Budget × 100
- YoY Change: (FY25 Actual – FY24 Actual) / FY24 Actual × 100

Key Findings

1. City of Parramatta Council – Highest Variance Across Councils

Council	Category	Sum of Budget 2025	Sum of Actual 2025	Variance %
City of Paramatta	Other income	$600,000	$26,905,000	4384.17%
City of Paramatta	Net loss from disposal of assets	($211,000)	$7,307,000	3563.03%
City of Paramatta	Materials & services	$72,736,000	$135,446,000	86.22%
City of Paramatta	Total expenses excluding depreciation	$273,782,000	$313,493,000	14.50%
City of Paramatta	Depreciation, amortisation & impairment	$66,500,000	$70,059,000	5.35%
City of Paramatta	Net operating result before capital grants	$5,834,000	($13,546,000)	-332.19%

Figure 1: City of Paramatta Variance Numbers

Analysis

1. Other Income

City of Parramatta **generated $26M more than planned**. This extraordinary uplift likely reflects one-off recoveries, insurance settlements, reimbursements or unanticipated revenues. This dramatically strengthens the revenue position and provides additional fiscal flexibility.

2. Depreciation, Amortisation & Impairment

Depreciation costs were approximately **$3M higher than budgeted**. This suggests higher-than-expected asset consumption, impairments, or revised asset valuations. While not as volatile as other categories, it still contributes to overall cost pressure.

3. Materials & Services

The council **overspent by $62M**, nearly doubling the planned figure. Possible drivers include:

• escalation in project delivery costs
• increased contractor and procurement expenses
• unplanned maintenance or operational activity
• inflation impacts on goods/services.

This overspend is one of the biggest contributors to the deteriorated operating result.

4. Net Loss from Disposal of Assets

Actual losses were $7.5M higher than planned. This indicates significant asset write-offs or disposal losses, potentially stemming from major projects, asset renewals, or disposal of underperforming assets at below book value. This is one of the most material negative financial movements.

5. Net Operating Result Before Capital Grants

The council moved from a **planned surplus to a $14M deficit, representing a deterioration of $20M**. Core operations (day-to-day services, staffing, utilities, fees etc.) did not generate enough revenue to cover costs. The council's strong overall result only looks positive because "other income" boosted the bottom line.

6. Total Expenses (Excluding Depreciation)

Total expenses exceeded the budget by **$37M**, indicating broad-based cost pressures across multiple operational areas. Even excluding Depreciation, Parramatta is spending significantly more than planned on operations and employee benefits and on-costs.

Business / Operational Implications

City of Parramatta's financial performance shows extreme variance behaviour among all councils in terms of spendings and losses, reflecting a year characterised by both unexpected financial upside and significant cost pressures.

Positive Impacts

- The exceptional uplift in **Other Income (+$26M above budget)** materially strengthens short-term liquidity and provides the council with additional financial capacity to absorb shocks.

Areas of Concern

- Substantial **overspends in Materials & Services (+$62M), Depreciation (+$3M), and particularly the Net Loss from Disposal of Assets (+$7.1M above budgeted losses)** highlight issues in expenditure planning, cost control, and asset management.
- These overspends suggest that operational performance is increasingly misaligned with budget expectations, raising concerns about service delivery sustainability and future budget reliability.

2. North Sydney Council Financial Performance vs Budget (FY 2025)

Council	Category	Sum of Budget 2025	Sum of Actual 2025	Variance %
North Sydney Council	Net operating result attributable to Council	($5,193,000)	$15,177,000	392.26%
North Sydney Council	Grants & contributions – capital	$3,058,000	$13,909,000	354.84%
North Sydney Council	Net operating result before capital grants	($8,251,000)	$1,268,000	115.37%

Figure 2: City of North Sydney Variance Numbers

Analysis

1. Grants & Contributions – Capital

Actual **revenue was $11M higher than planned**. This reflects higher-than-expected capital funding, likely due to accelerated grant receipts or new project funding. This strengthens the council's capacity to invest in long-term infrastructure and strategic initiatives.

2. Net Operating Result Before Capital Grants

The council moved from **a projected $8M deficit to a $1M surplus**. This indicates improved operational efficiency, cost management, and a **13.6% lower spend on Employee benefit and on-costs**, suggesting lower spend and core operations performed substantially better than anticipated.

3. Net Operating Result Attributable to Council

The council **exceeded expectations by $20M**. This strong turnaround is driven by both the increased capital grants and improved operational results, highlighting an overall favourable financial position and better-than-expected fiscal management.

Business / Operational Implications

North Sydney Council's financial performance demonstrates notable variance behaviour, reflecting a year with strong capital inflows via different streams of revenue.

Positive Impacts

- The substantial **increase in Grants & Contributions – Capital (+$11M above budget)** materially strengthens funding for long-term projects and infrastructure development.
- The overall Net Operating Result attributable to the Council improved significantly **(+$20M above budget),** indicating a strong turnaround supported by both capital inflows and improved operational outcomes.

Areas of Concern

- While operating performance improved, **the largest contributor to the $20M favourable variance was the +$11M capital grants increase**. This means the council's final result depends more on external project funding than on stable, recurring operational revenues.

3. Hornsby Shire Council Financial Performance (FY 2025)

Council	Category	Sum of Actual 2024	Sum of Actual 2025	YoY %
Hornsby Shire Council	Operating result excluding depreciation	($2,890,000)	$88,492,000	3162.01%
Hornsby Shire Council	Net operating result before capital grants	($5,794,000)	$20,568,000	454.99%
Hornsby Shire Council	Net operating result attributable to Council	($27,997,000)	$62,513,000	323.28%
Hornsby Shire Council	Grants & contributions – capital	($22,203,000)	$41,945,000	288.92%
Hornsby Shire Council	Other income	$5,759,000	$9,991,000	73.48%
Hornsby Shire Council	Net loss from disposal of assets	$4,560,000	$1,211,000	-73.44%

Figure 3: Hornsby Shire Council YOY Increase

Analysis

1. Grants & Contributions – Capital

Turned from -$22M in 2024 to +$42M in 2025, representing a substantial turnaround in capital funding.

2. Other Income

With a **73.48% increase in 2025**, it contributed largely to total revenues.

3. Net Loss from Disposal of Assets

73.44% decrease in net losses, which improves overall financial results.

4. Net Operating Result Before Capital Grants

The **largest YoY increase (+454.99%) among all councils in this category**, reflecting the combined effect of reduced losses and controlled expenses.

5. Net Operating Result Attributable to Council

Again, highest **YoY increase (+323.28%)** among all councils in the category, mostly derived from capital grants.

6. Operating Result Excluding Depreciation

These metrics show a **massive improvement of 3162.01%** from previous year, primarily due to the combination of turnaround in capital grants, increase in other income, and reduced losses.

Business / Operational Implications

Hornsby Shire Council's financial performance demonstrates an extraordinary improvement from last year, with the highest growth in 2025 across all councils.

Positive Impacts

- Strong turnaround in **Grants & Contributions – Capital (+$64M increase from 2024)** and **growth in Other Income (+$4M)** materially strengthen the council's liquidity and provide significant additional financial capacity.
- Controlled spending in Materials & Services and a sharp reduction in **Net Loss from Disposal of Assets (+$3.4M improvement)** enhance operational efficiency and reduce financial risk.
- Overall net operating results improved dramatically, providing an exceptionally strong financial position for reinvestment or strategic initiatives.

Areas of Consideration

- The shift from **–$22M in 2024 to +$42M in 2025 in capital grants (+$64M change) is the primary driver behind most of the high YoY percentages**. Because these grants are externally controlled and non-recurring, they do not represent underlying operational performance and cannot be relied on for future financial stability.

Actionable Recommendations / Strategic Focus

Based on the FY 2025 financial performance of City of Parramatta, North Sydney, and Hornsby Shire Councils, the following recommendations are proposed to address observed variances and strengthen financial management:

Control Operational Spending in High-Variance Areas:

- **City of Parramatta:** Materials & Services overspent by $62M (+86% vs budget) and Depreciation exceeded budget by $3M (+5%). Implement detailed monthly expenditure monitoring and require prior approval for unplanned procurement or contractor engagements.

Minimise Asset Disposal Losses:

- **City of Parramatta:** Net Loss from Disposal of Assets was $7.3M, $7.1M above budget. Introduce standardised asset disposal reviews, regular fair-value assessments, and consideration of resale or repurposing options to reduce future losses.
- **Hornsby Shire Council:** With a $3.4M reduction in losses, continue regular review of asset life cycles to sustain efficiency.

Maintain Liquidity and Financial Flexibility:

- Monitor unexpected revenue streams, such as Other Income ($26M above budget for City of Parramatta; $4M increase for Hornsby), and consider setting aside a portion in reserve funds for contingencies or operational smoothing.

Data-Driven Monitoring and Early Intervention:

- Implement dashboards tracking budget-to-actual performance at least monthly for all high-impact categories (Materials & Services, Depreciation, Asset Disposal, Grants & Contributions).
- Set variance thresholds (e.g., ±5% for operational expenses) to trigger management review, ensuring timely corrective action.

Appendix

Budget 2025 and Actual 2025 Variance Comparison Dashboard

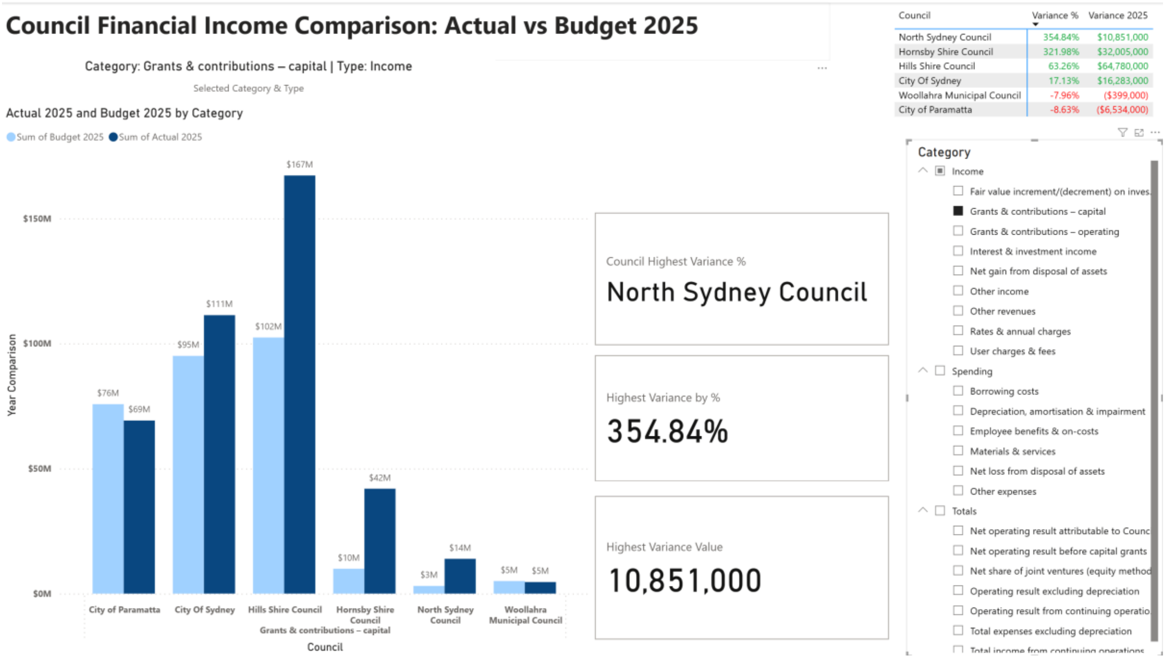

Figure 4: Variance Comparison Dashboard

Actual 2024 and Actual 2025 Growth Comparison Dashboard

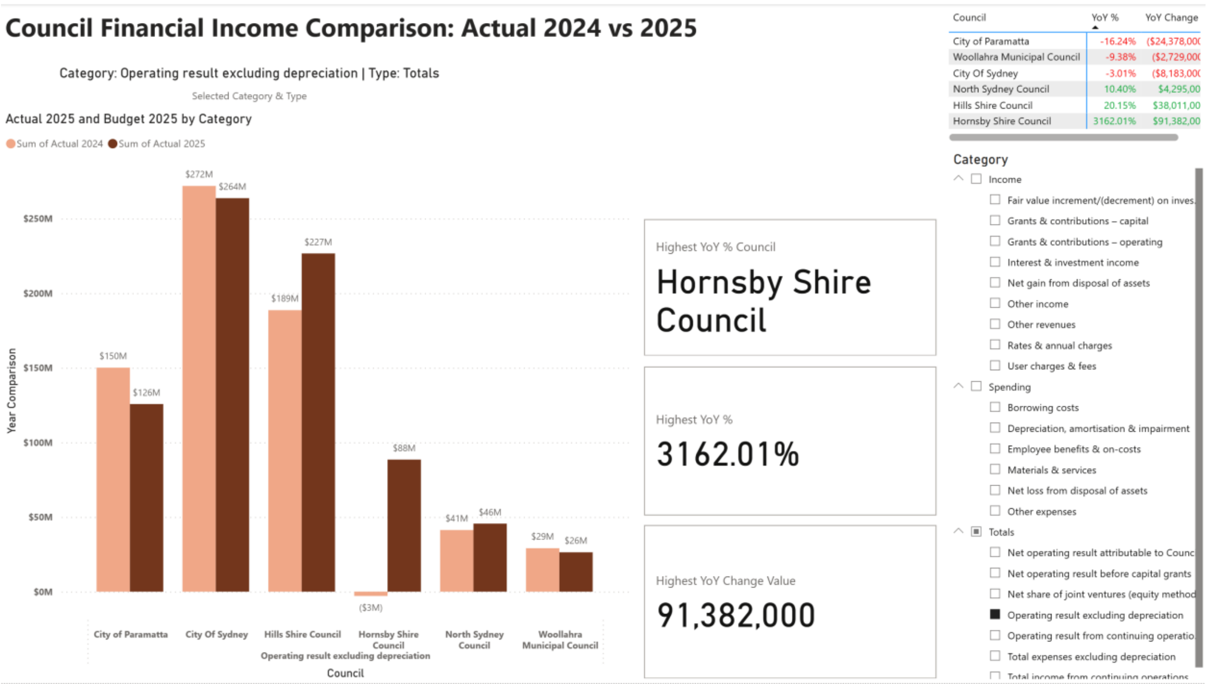

Figure 5: YOY Comparison Dashboard